UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2012/2013

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

SATURDAY, 15 SEPTEMBER 2012 TIME: 2.00PM – 5.00PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)
BACHELOR OF FINANCE (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) Explain **FIVE (5)** revenue-related motives a multinational corporation engages in foreign direct investment. (10 marks)

(b) Blue Submarine Berhad has accounts receivable of $6,750,000 due in three months. Currently the company has surplus cash being invested in RM denominated money market instruments. It has a weighted average cost of capital of 14.53%.

A 3-month call options on RM with an exercise price of RM3.0000/$ has a 4% premium, while a 3-month put options on RM with an exercise price of RM3.0000/$ has a 2.5% premium. 3-month money market rates are 5.30% – 6.40% in the U.S. and 3.00% – 3.40% in Malaysia. Current spot exchange rate is RM2.9413/$.

Given the above information, compute the amount of RM receipts if Blue Submarine Berhad implements options market hedge and the spot exchange rate turned out to be (i) RM3.1450/$ or (ii) RM2.9420/$ at the end of three months respectively. (14 marks)

(c) Ithihad Berhad is a Malaysian importer and distributor of racing bikes. The company has contracted to purchase 3,000 units of D5354 racing bike at a unit price of €2,750 from Ballotev, an Italian racing bike manufacturer. Three months credit is allowed to Ithihad Berhad.

Spot rate	RM3.9000/€ - RM3.9880/€
90-day forward rate	RM3.9394/€ - RM4.0300/€
90-day Euros interest rate	3.80% - 4.30%
90-day Ringgit interest rate	6.80% - 7.50%

With the aid of KKK Consulting Sdn. Bhd., Ithihad Berhad has formed the following probability distribution of future spot rate at the end of 90 days.

Future Spot Rate	Probability
RM3.9250/€	40%
RM3.9950/€	60%

(i) Compute total payments in RM if Ithihad Berhad implements money market hedge. (11 marks)

(ii) Compute expected real cost of hedging to Ithihad Berhad. Should Ithihad Berhad hedge its exposure via money markets? (5 marks)

[Total: 40 marks]

UKFF4024 MULTINATIONAL FINANCE

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) Cross-border listing is a method to raise equity financing by multinational firms.
Explain **THREE (3)** disadvantages of cross-border listing. (6 marks)

(b) Explain **THREE (3)** differences between performing capital budgeting from the parent firm's perspective and the host country's project perspective. (6 marks)

(c) Kings Park PLC, a British multinational corporation, is considering to set up a subsidiary in Malaysia. As an incentive to attract more foreign direct investment into the country, the Malaysian government has offered a concessionary loan of MYR 20,000,000 to Kings Park PLC at a rate of 4% per annum. The normal borrowing rate is 6% in British pound (GBP) and 5% in Malaysian ringgit (MYR). The loan schedule calls for principal to be repaid in four equal instalments at the end of each year. Given the current spot exchange rate of MYR5.2000/GBP, and the expected inflation rates of 3% in the United Kingdom and 2% in Malaysia respectively, compute the present value of benefit of the concessionary loan (in GBP) to Kings Park PLC. (Note: Present your answer in an organised tabular format) (18 marks)
[Total: 30 marks]

Q2. (a) Explain **THREE (3)** useful strategies of transfer pricing for a multinational firm. (9 marks)

(b) Safee Matyo is a foreign exchange dealer for a bank in Sydney, Australia. He has AUD 2,000,000 (or its MYR equivalent) for a short-term money market investment. He wonders if he should invest in Aussie dollar (AUD) or make a covered interest arbitrage investment in Malaysian ringgit (MYR). He faces the following rates:

Spot exchange rate	MYR2.9880/AUD
3-month forward exchange rate	MYR2.9967/AUD
3-month Australia interest rate	3.00% p.a.
3-month Malaysia interest rate	5.80% p.a.

Based on rule of thumb, which country's money market do you recommend Matyo to invest in? Compute the amount of covered interest arbitrage profits in AUD term and in effective annual rate of return. How would market forces realign MYR/AUD spot and forward exchange rates to restore the Interest Rate Parity (IRP)? (21 marks)
[Total: 30 marks]

Section B (continued)

Q3. (a) What is the benefit of a risk sharing agreement to the exporter firm if all the sales were invoiced in the exporter's home currency? (4 marks)

(b) Martinez Corporation, a U.S. firm, produces chemicals. It is a major exporter to Europe, where its main competition is from other U.S. exporters. All of these companies invoice the products in U.S. dollars. Is Martinez Corporation's transaction exposure likely to be significantly affected if the euro strengthens or weakens? Explain. If the euro weakens for several years, can you think of any change that might occur in the global chemicals market? (8 marks)

(c) Kagawa Berhad has just invested its surplus cash in British pound money market at LIBOR plus 75 basis points. The LIBOR will be reset every three months. Although interest rates in the United Kingdom are currently higher than in Malaysia, Kagawa Berhad worries about the high volatility of the pound interest rates. Explain **FOUR (4)** hedging alternatives for Kagawa Berhad in order to reduce its interest rate exposure. (8 marks)

(d) Why does a floating exchange rate system not always correct a country's current account deficit? (10 marks)

[Total: 30 marks]